

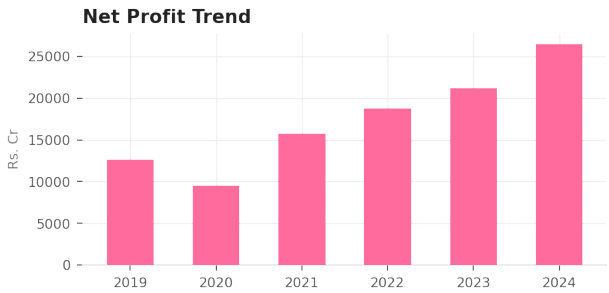
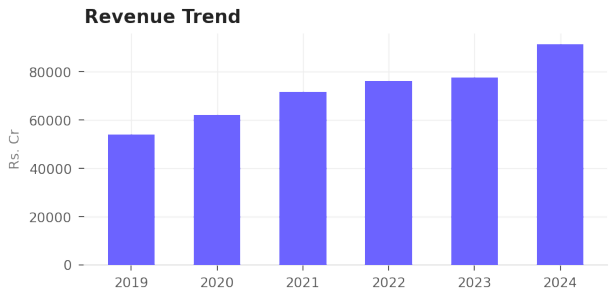
Power Finance Corporation Ltd

PFC | Financials - Speciality Finance | Large Cap

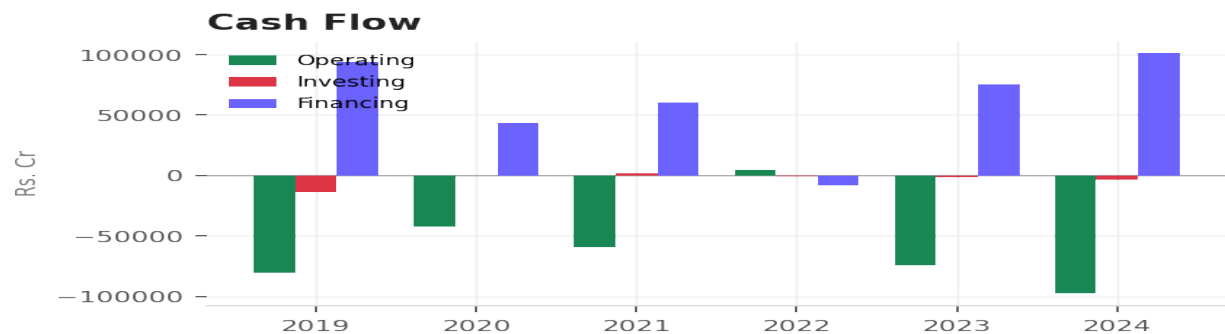
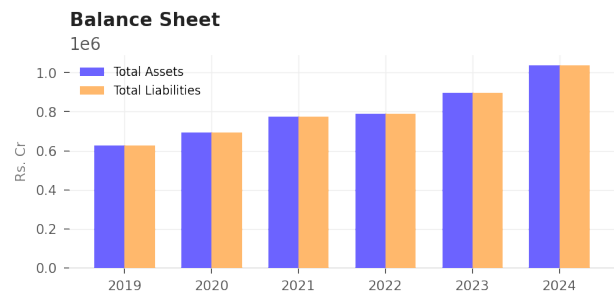
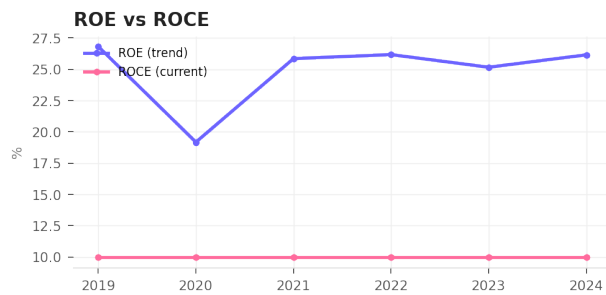
26.2%	10.0%	8.52x	35.6x	0.4%	25/100
ROE	ROCE	Debt/Equity	P/E	Div. Yield	Quality Score

CAPITAL ALLOCATION: GROWTH FUNDED BY DEBT

Operating cash flow is negative; growth is being funded through debt.



Power Finance Corporation Ltd - Financial Trends



Cons

Pros

- + Company maintains a strong operating margin of 36.7%. (85% confidence)
- + Company has a strong return on equity of 26.2%. (77% confidence)
- + Company has delivered strong profit growth of 16.7% CAGR over the last 5 years. (70% confidence)
- + Company has delivered strong sales growth of 15.6% CAGR over the last 5 years. (68% confidence)
- + Company has grown earnings per share at 14.2% CAGR over the last 5 years. (65% confidence)

- Company carries a high debt-to-equity ratio of 8.52. (98% confidence)
- Company's cash generation lags reported profits (CFO/PAT of -3.46x), an accrual risk. (98% confidence)
- Company has a low interest coverage ratio of 0.58x. (87% confidence)
- Company's cash flow pattern (Growth Funded by Debt) signals capital allocation stress. (80% confidence)
- Company scores poorly on the composite quality framework (25/100). (79% confidence)
- Company reported negative free cash flow in the latest year. (75% confidence)